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AN ESSAY ON THE ‘State of the Economy’ in the Reserve Bank of India’s (RBI) February 2022 bulletin begins by saying this: “Domestic macroeconomic conditions are striking a path that is diverging from global developments.” Perhaps, but the possible outcomes of the geopolitical crisis that began when Russia invaded Ukraine on February 24 could challenge that assessment.

That’s not all. On March 8, US President Joe Biden raised the ante in this war by announcing a ban on the import of Russian energy products. While the US itself is not very dependent on Russian oil—in 2021, it imported an average 672,000 barrels a day, or 8 per cent of its needs, according to the Energy Information Agency (EIA); Canada provides 51 per cent of US oil imports—the impact would be elsewhere. Crude oil prices could skyrocket—to as high as \$150 a barrel, some analysts fear—and that would wreak havoc on the Indian economy.

Many observers worry that the impact on India’s economy could be severe; others are sanguine that India’s economy is insulated from the effects of a war that is very far away. The stock market has already reacted, with major indices falling by almost 10 per cent since February 1, although they recovered around the days of the state election results. Several market veterans shrug off the slide saying a ‘technical correc-

tion’ was due anyway, and events in Europe supplied the trigger.

Most companies and businesspeople are confident—or at least hopeful—that the crisis will be resolved quickly, since the world cannot afford a long drawn-out conflict or persistent political tension in Europe. That said, US-China trade tensions have persisted for long, and the global economy has adjusted. China’s alignment with Russia, and new tensions over Taiwan could, however, ratchet up the pressure.

Three scenarios are possible: a difficult, but manageable short-term one, in which the dispute is resolved and tension de-escalated within two months, a second, more adverse situation in which the effects of persistent sanctions will be felt if the conflict continues for six to nine months, and the third, worst-case scenario of a dragged-out war over 12-18 months.

Three types of effects on the Indian economy are likely: direct, affecting trade between India and both Russia and Ukraine; indirect, through global commodity and energy market shifts; and macroeconomic, as policy implementation and business choices may have to be deferred or adjusted to manage any fallout from the crisis.

The results of and responses to this 3x3 matrix will vary, and degrees of uncertainty—at least at this stage—are high. The big question is how the Indian economy will weather this crisis. Will it demonstrate resilience, or will some sectors get into serious difficulties?

BITTER, BUT STRONG, MEDICINE

Pharmaceutical companies—Sun Pharmaceuticals and Dr. Reddy’s Laboratories (DRL) come to mind—



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